

Introduction to Business

TOPIC 2. Value creation: Environment and Competitive advantage



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Value creation: environment and c. advantage

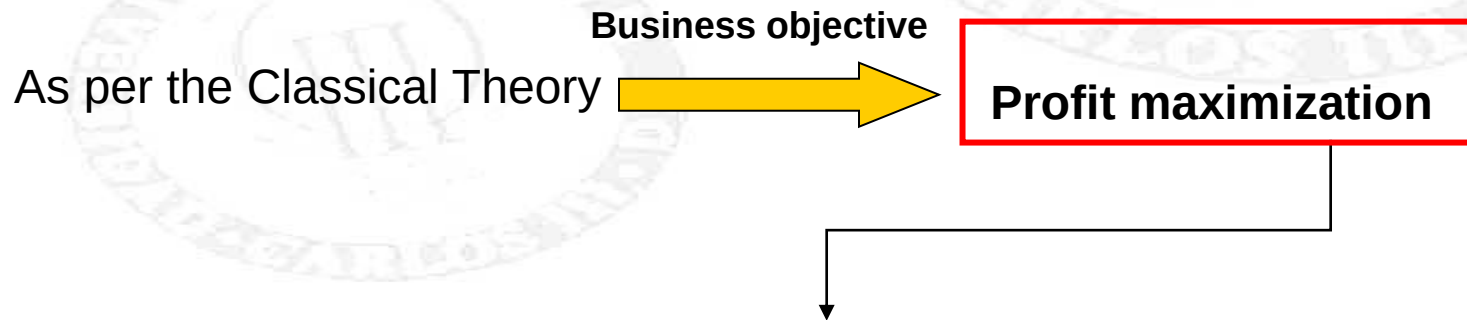
1. Business objectives
 - a. Traditional concept. The benefit maximization
 - b. Emergence of new objectives. The role of stakeholders
2. Business strategies and types
3. Generic and Specific Environment



1. Business objectives

TRADITIONAL CONCEPT

Business objective = Entrepreneur's objective



LIMITATIONS

- The term profit is difficult to define and quantify
- It does not take into account the risk associated to the achievement of profits
- Concept of maximization
- Excessive leading role of the entrepreneur: separation of ownership and control



MANAGEMENT AND OBJECTIVES

To avoid conflict of interests:



Align management and shareholder objectives



How?

**Incentive
Compensation**

Market of Enterprises

Labour Market

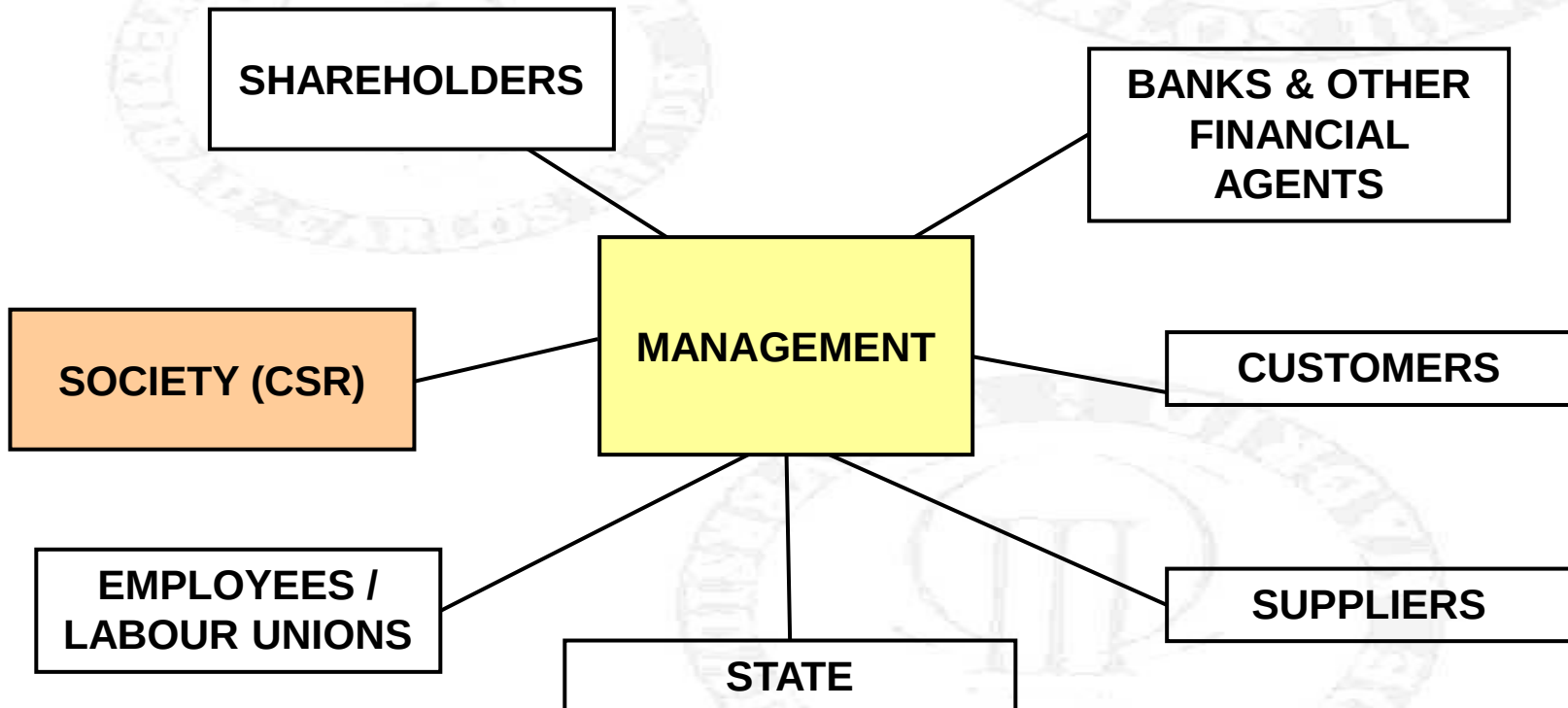
**Markets of the Factors
of Production**

Management will try to maximize their interests, always with the limitation of achieving a minimum level of profit in order to satisfy shareholders



THE ROLE OF STAKEHOLDERS IN THE DEFINITION OF OBJECTIVES

WHO are the STAKEHOLDERS?





THE ROLE OF STAKEHOLDERS IN THE DEFINITION OF OBJECTIVES



ORGANIZATIONAL THEORY



**Business
Objectives**

Outcome of a negotiation process between the different stakeholders,
limited by:

Survival goal



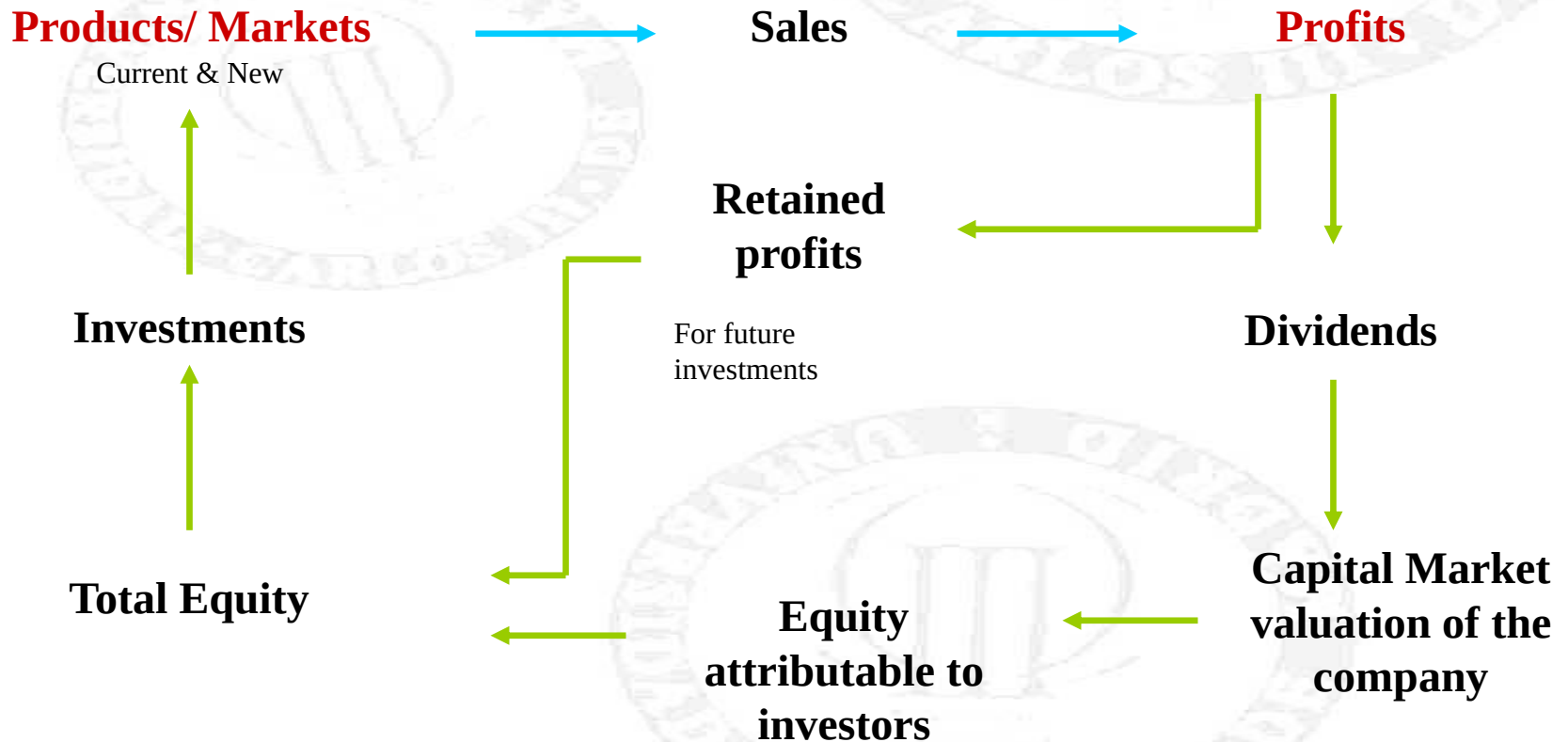
Not all the groups have the
same decision-making power

Business objective: The one that satisfies the group with higher bargaining power, taking into account the objectives of the rest of the groups and the survival of the enterprise

Maximize the Value of the Enterprise: CREATE VALUE



A unified vision: survival, profit and growth





2. Business strategies and types

Achieve the business **OBJECTIVE**



Define a **STRATEGY**



**STRATEGIC
DECISIONS**



**OPERATIVE
DECISIONS**



**TACTIC
DECISIONS**

STRATEGY:

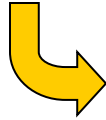
“ A plan, method or series of actions designed to achieve a specific goal or effect”

Wordsmyth Dictionary



Business strategies and types

Achieve de business OBJECTIVE



Define a STRATEGY



**STRATEGIC
DECISIONS**



**TACTIC
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**OPERATIVE
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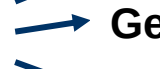
**STRATEGIC
DECISIONS**



Corporate Strategy



Product scope (Diversification)



Geographical scope (Internationalization)



Vertical scope (Vertical integration)



Competitive or
Business Strategy



Cost-leadership strategy



Differentiation strategy



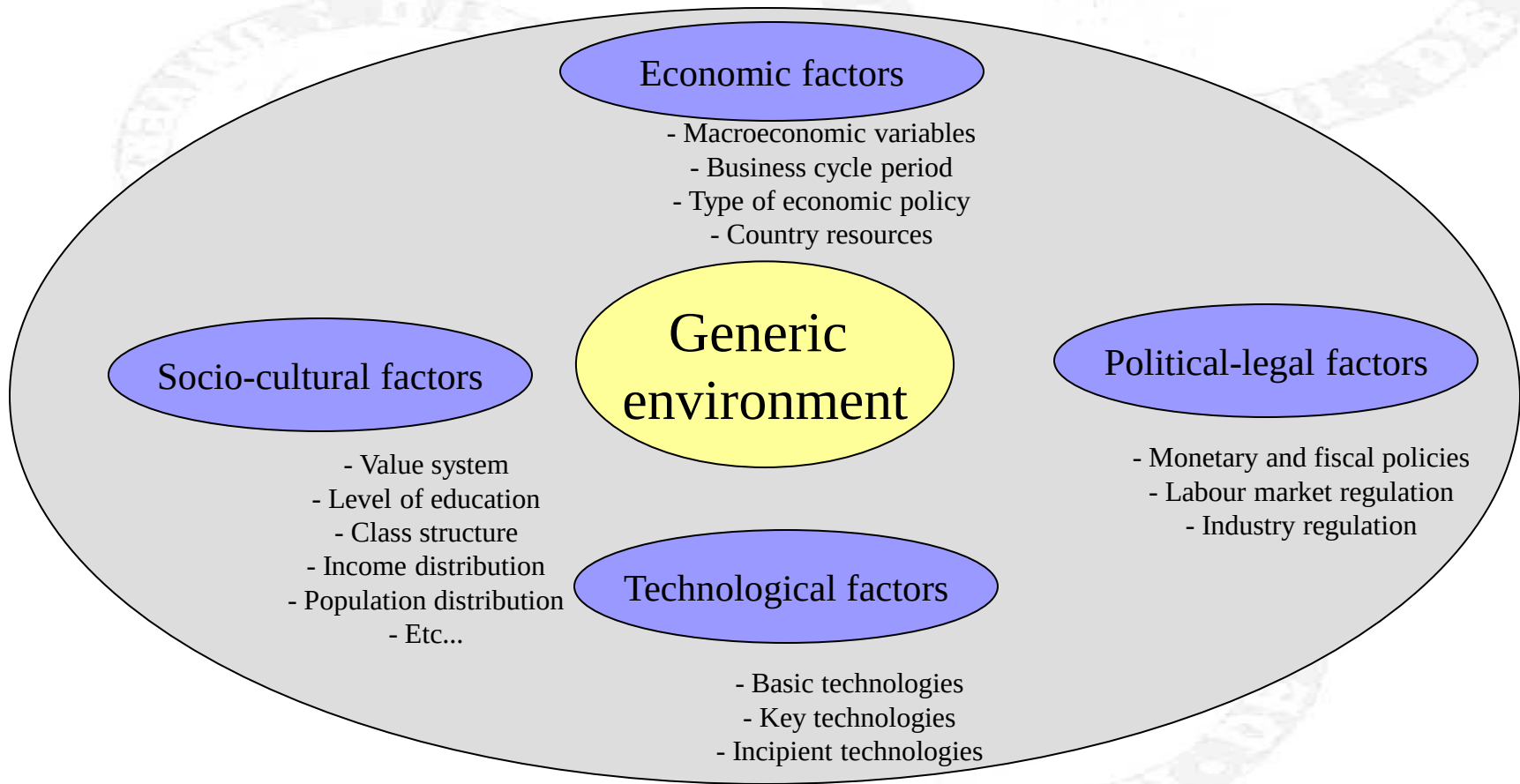
Business strategies and types

What makes a successful strategy?



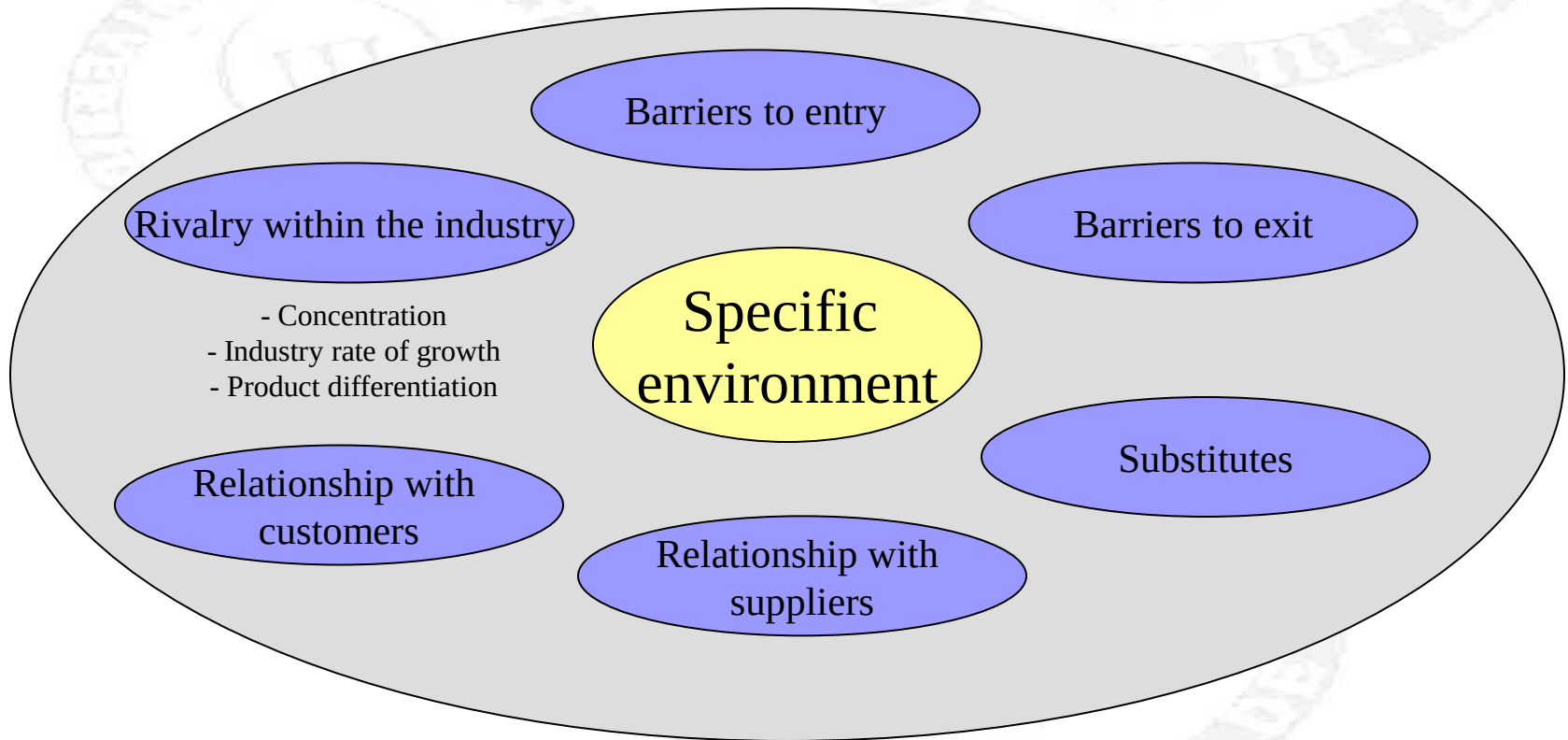


THE BUSINESS ENVIRONMENT





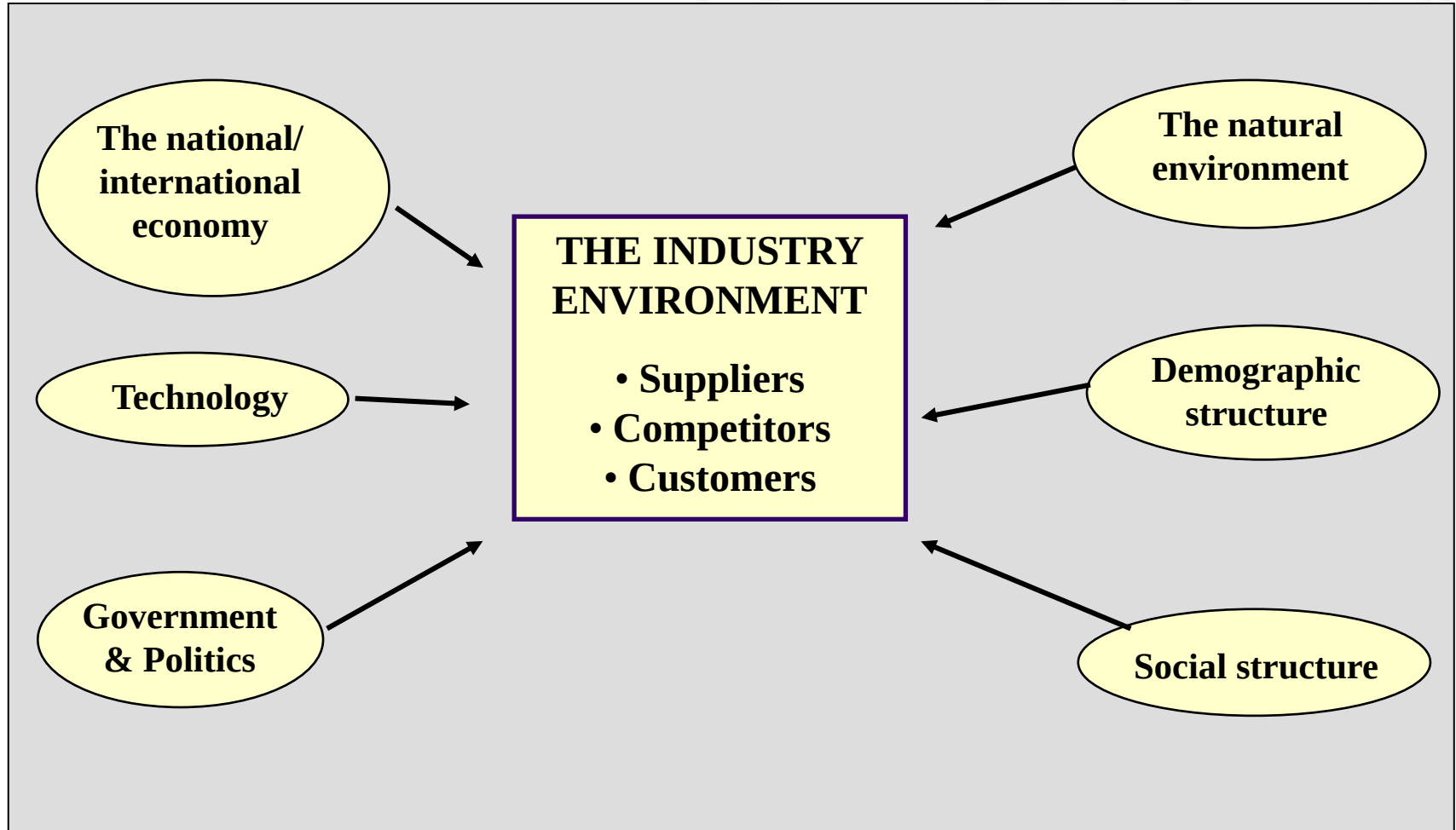
THE BUSINESS ENVIRONMENT





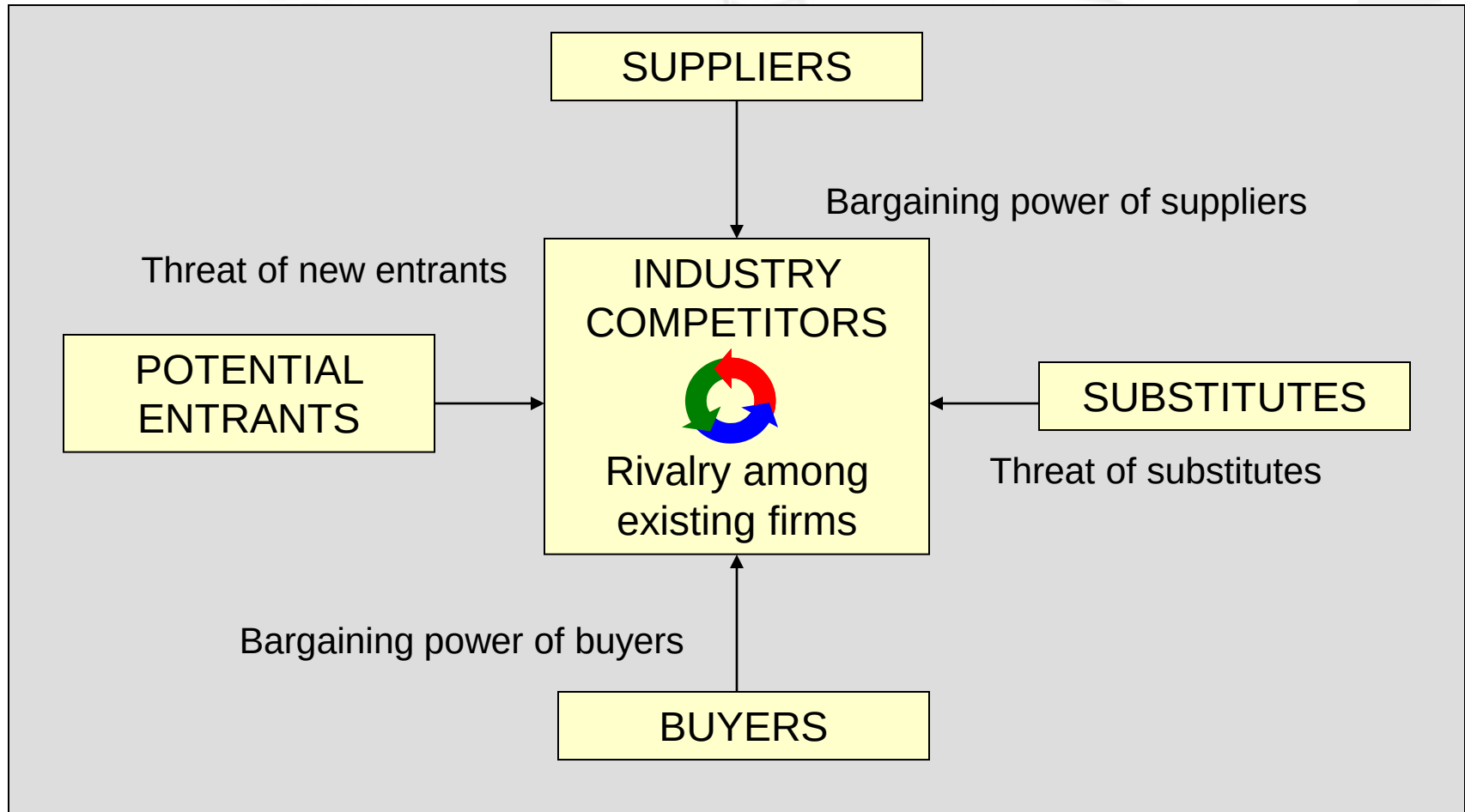
The business environment

FROM ENVIRONMENTAL ANALYSIS TO INDUSTRY ANALYSIS



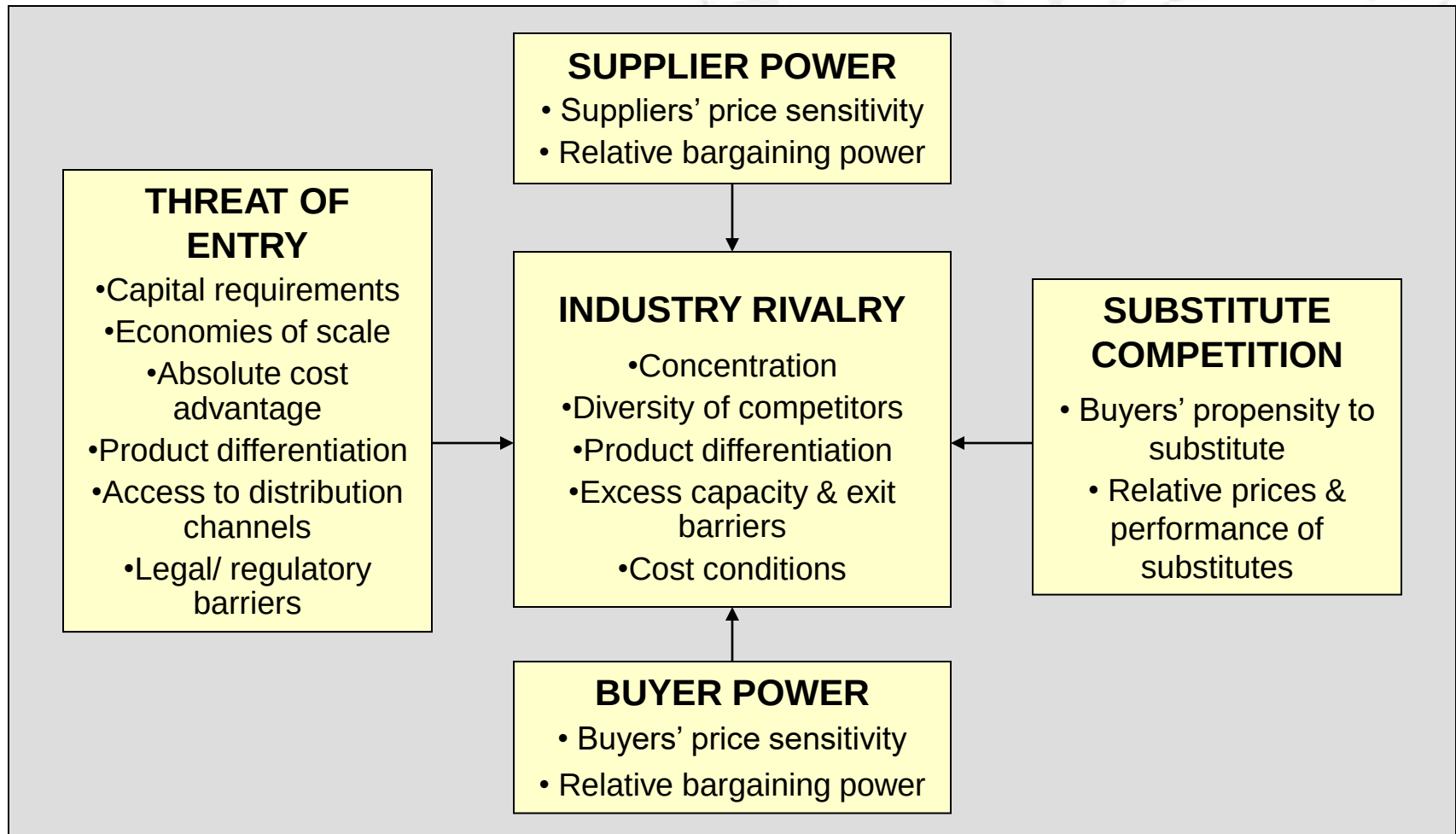


PORTER'S FIVE COMPETITIVE FORCES (Porter, 1982)





PORTER'S FIVE COMPETITIVE FORCES (Porter, 1982)



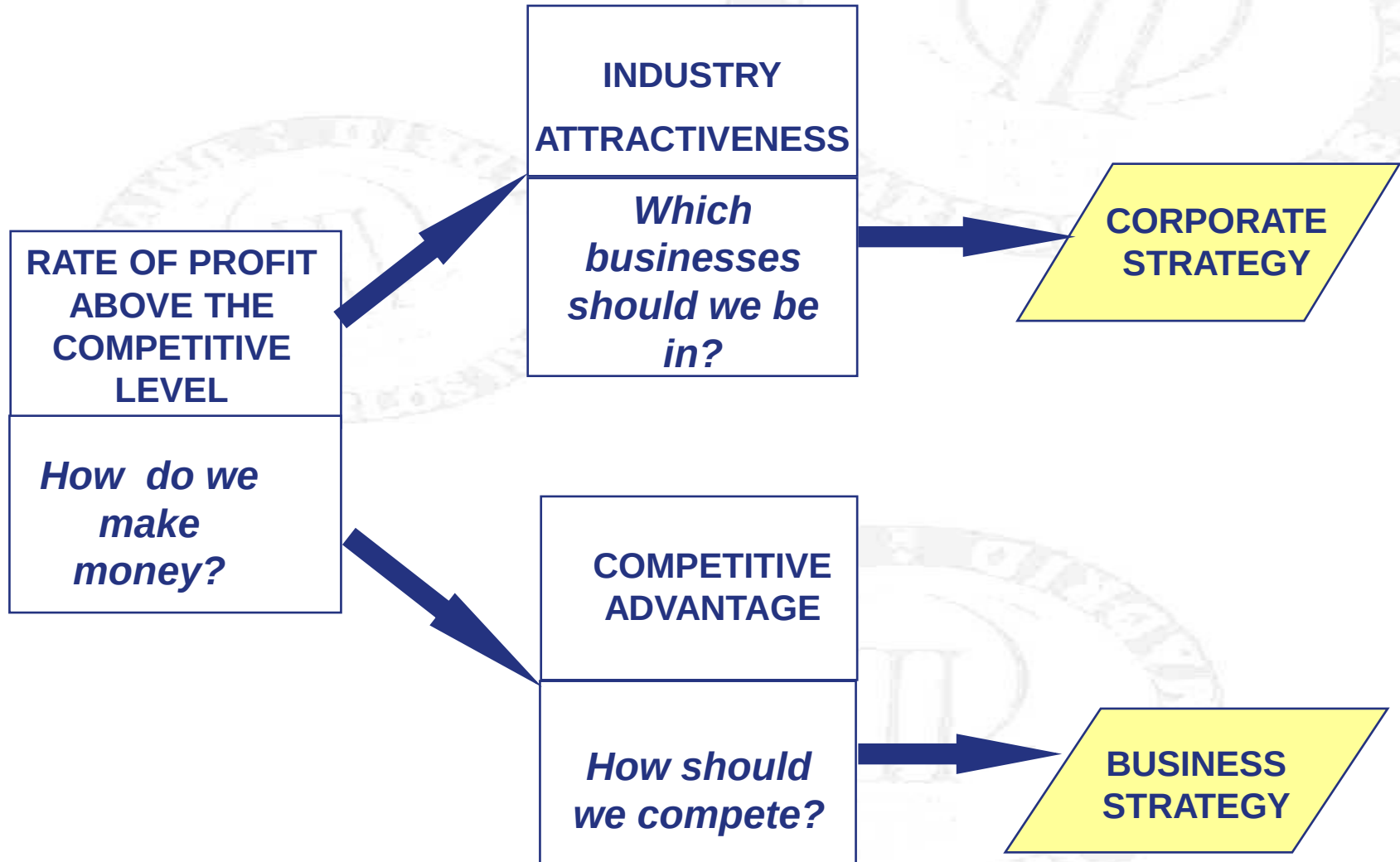


Strategic management process

- **Mission Statement**
- **Performance Objectives**
- **Develop Strategies**
- **Strategy Implementation**
- **Evaluation** of performance



Business strategies and types

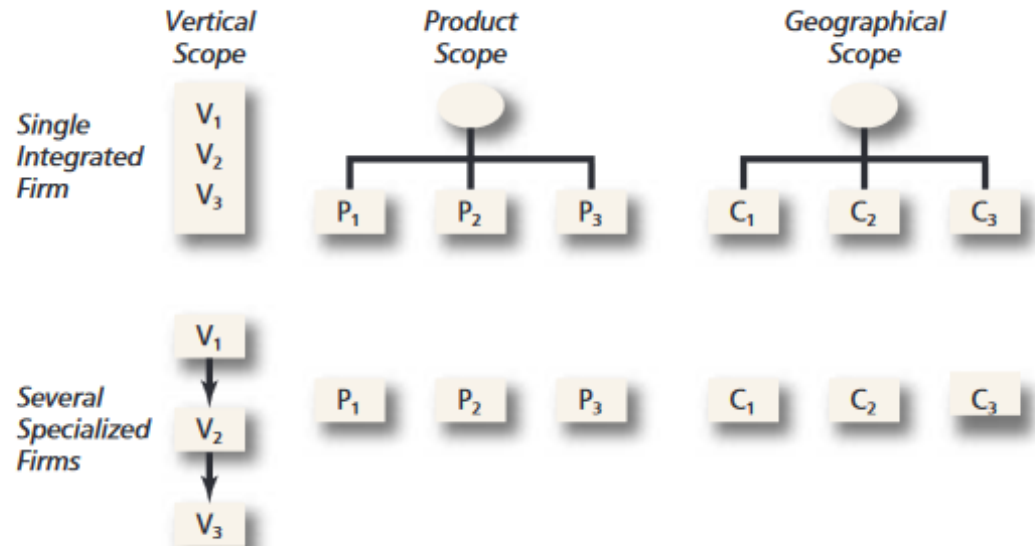




- ***Business Strategy is concerned with how a firm competes within a particular market***
- ***Corporate Strategy is concerned with where a firm competes, i.e. the scope of its activities***
- **The dimensions of scope are**
 - geographical scope
 - vertical scope
 - product scope



Types of strategies



In the integrated firm there is an administrative interface between the different vertical units (V), product units (P), and country units (C). Where there is specialization, each unit is a separate firm linked by market interfaces.

- Vertical scope: three independent companies – one producing steel, the next rolling the steel into sheet, and the third producing steel cans – or having all three stages of production within a single company?
- Geographical scope: three independent companies producing cans in the US, UK, and Italy, or a single multinational company owning and operating the can-making plants in all three countries?
- Product scope, should metal cans, plastic packaging, and domestic appliances be produced by three separate companies, or are there efficiencies to be gained by merging all three into a single company?

Source: Grant, R. M. (2002). Contemporary strategy analysis. 6th. Malden, MA: Blackwell Pub, 13(482), 133.



Sources of Competitive Advantage

COMPETITIVE ADVANTAGE

COST ADVANTAGE

Similar product at lower cost

DIFFERENTIATION ADVANTAGE

Price premium from unique product



Drivers of Cost Advantage

- ECONOMIES OF **LEARNING**
Improved organizational routines
- ECONOMIES OF **SCALE**
Specialization and division of labor
- PRODUCTION **TECHNIQUES**
Process innovation
Reengineering business processes
- PRODUCT **DESIGN**
Standardizing designs & components
Design for manufacture



Drivers of Cost Advantage

- INPUT **COSTS**

- Location advantages

- Ownership of low-cost inputs

- Non-union labor

- Bargaining power

- **CAPACITY** UTILIZATION

- Ratio of fixed-to-variable costs

- Speed of capacity adjustment

- RESIDUAL **EFFICIENCY**

- Organizational slack

- Motivation & culture

- Managerial efficiency



- **DIFFERENTIATION:** is concerned with how a firm distinguishes its offerings from those of its competitors (i.e. *How the firm competes*)
- **DEFINITION:** “*Providing something unique that is valuable to the buyer beyond simply offering a low price.*” (**M. Porter**)

THE KEY IS TO CREATE **VALUE** FOR THE
CUSTOMER



- **TANGIBLE DIFFERENTIATION**

- Observable product characteristics:
 - Size, color, materials, etc.
 - Performance
 - Packaging
 - Complementary services

- **INTANGIBLE DIFFERENTIATION**

- Unobservable and subjective characteristics that appeal to customer's image, status, identity, and desire for exclusivity

TOTAL CUSTOMER RESPONSIVENESS

Differentiation not just about the *product*, it embraces the whole *relationship between the supplier and the customer.*



Corporate strategy-Diversification

- **Diversification decisions involve two issues:**
 - How attractive is the sector to be entered?
 - Can the firm achieve a competitive advantage?

Reasons:

- **GROWTH**
 - The desire to escape from declining industries (e.g. tobacco, oil, newspapers)
- **RISK**
 - Diversification reduces earnings volatility
- **PROFIT**
 - Bringing together different businesses may increase profitability



Types of diversification

- **Related diversification:** when a business expands its existing product lines or markets.
- **Unrelated diversification:** when a business adds new, or unrelated, product lines or markets.
- **Diversification forms:**
 - Vertical integration – along your value chain
 - Horizontal diversification – moving into new industry
 - Geographical diversification – opening new markets



- **Forward vertical integration**
- **Backward vertical integration**
- **Disadvantages**
 - Increased risk (outsourcing)
 - Decreased flexibility
 - Loss of specialization advantages
 - Increased administrative costs
- **Advantages**
 - Inputs/outputs control
 - Reduction transaction costs
 - Independency
 - Better competitive position
 - Reduce information asymmetries



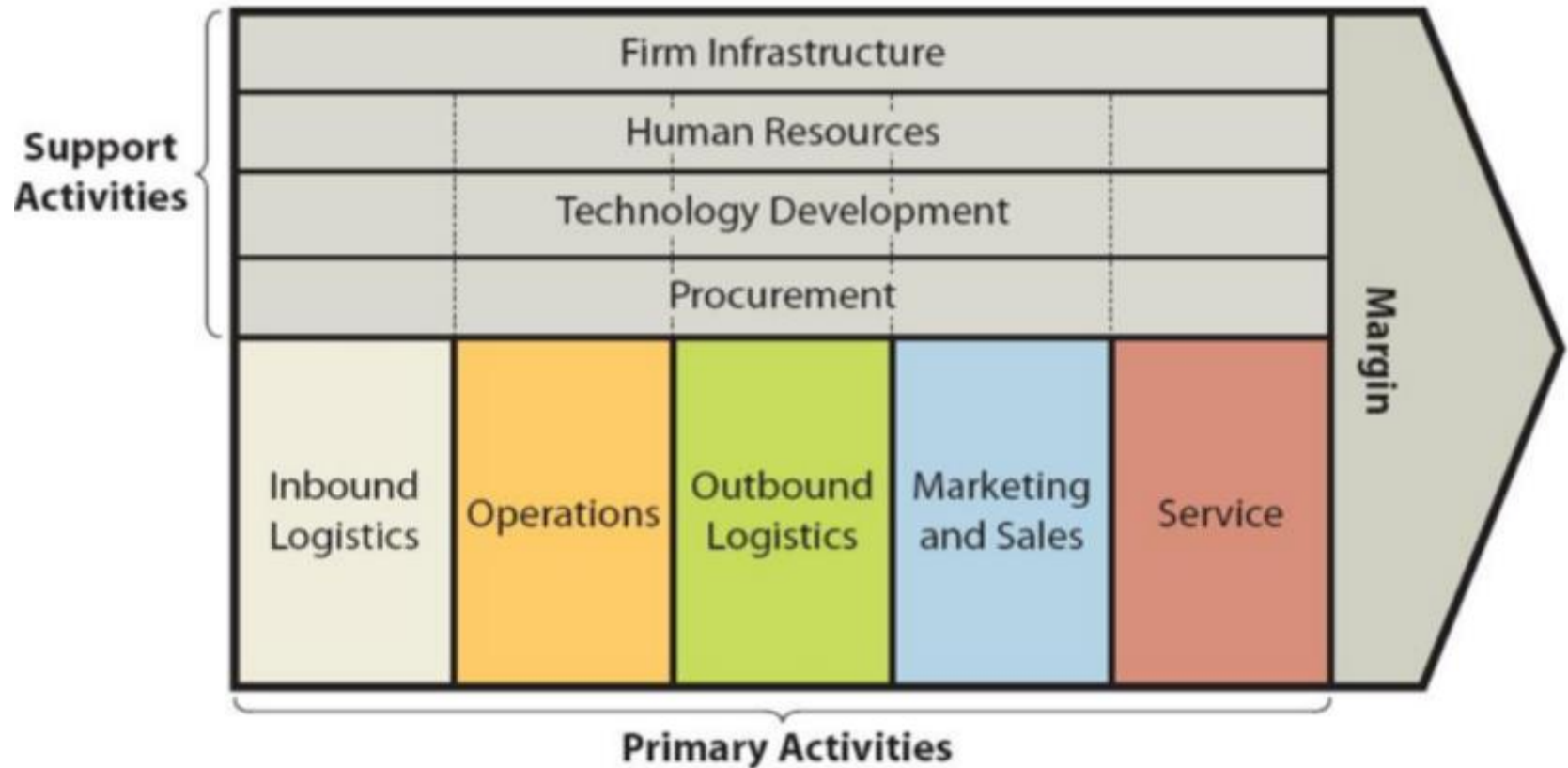
Porter's value chain

- The term value chain was used by Michael Porter (1985)
- Organizations are more than the random compilation of resources but an arrangement of the resources into systems and activities that result in products which customers are willing to pay for
- Management of these activities and their linkages give an organization competitive advantage



Value Chain Analysis

Porter's value chain





Porter's value chain

According to Porter (1985), the *primary activities* are:

- **Inbound Logistics** - involve relationships with suppliers and include all the activities required to receive, store, and disseminate inputs.
- **Operations** - are all the activities required to transform inputs into outputs (products and services).
- **Outbound Logistics** - include all the activities required to collect, store, and distribute the output.
- **Marketing and Sales** - activities inform buyers about products and services, induce buyers to purchase them, and facilitate their purchase.
- **Service** - includes all the activities required to keep the product or service working effectively for the buyer after it is sold and delivered.



Secondary activities are:

- **Procurement** - is the acquisition of inputs, or resources, for the firm.
- **Human Resource management** - consists of all activities involved in recruiting, hiring, training, developing, compensating and (if necessary) dismissing or laying off personnel.
- **Technological Development** - pertains to the equipment, hardware, software, procedures and technical knowledge brought to bear in the firm's transformation of inputs into outputs.
- **Infrastructure** - serves the company's needs and ties its various parts together, it consists of functions or departments such as accounting, legal, finance, planning, public affairs, government relations, quality assurance and general management.

Video: <https://www.youtube.com/watch?v=a9LWp9y2fMw>

References: Porter, Michael E., "Competitive Advantage". 1985, Ch. 1, pp 11-15. The Free Press. New York.